How it works

Governments will often want to spend more than they earn in taxes. This may happen during a recession, when there is higher unemployment and therefore lower tax revenues. The gap between government tax revenue and what it spends is called the deficit. Governments borrow in order to cover the deficit, maintain spending, and continue to provide services with the aim that debts will eventually be repaid with tax revenue. Most governments run a deficit from time to time, and may run one most of the time. If debts can be repaid, and interest payments are not large, this is not a problem, but there is a risk of default when repayment cannot keep pace with borrowing.

"A national debt, if it is not excessive, will be to us a national blessing"

Alexander Hamilton, first US Secretary of the Treasury